

A closer look at IPOs

An Initial Public Offering (IPO) is the first time that shares in the company are offered for public sale. It is the most common way for a private company to go public if it needs a large injection of capital to fund major expansion. There are other reasons for going public—for example if a government wants to privatize a state-owned company, such as a national railroad, or if the members of a large family-owned enterprise want to sell their stake.

WORLD'S TOP 10 STOCK EXCHANGES

The largest exchanges manage shares belonging to some of the world's most lucrative businesses and, as a result, substantial sums of money flow through them. The following

exchanges are listed in order of the size of market capitalization—in other words, by the total monetary value of shares issued by the companies listed on each exchange.

1. **New York Stock Exchange**
2. **NASDAQ OMX, New York**
3. **Tokyo Stock Exchange**
4. **Euronext (Pan-European)**
5. **London Stock Exchange**
6. **Shanghai Stock Exchange**
7. **Hong Kong Stock Exchange**
8. **Toronto Stock Exchange**
9. **Deutsche Borse**
10. **SIX Swiss Exchange**

The IPO process

Before a company can issue shares, it has to be listed on a stock exchange where trading (the buying and selling of shares) can take place. The company must then fulfill the criteria necessary to secure investors. This process is lengthy, subject to strict financial regulations, and is extremely expensive to undertake. Only once all stages of the process are complete can the share offering be officially declared on a stock exchange.

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Meet the qualifications

The specific requirements are set by the stock exchange where the company plans to list. Listing conditions vary between exchanges, but typically demand:

- ✓ Pretax earnings above a certain level
- ✓ Three years of audited financial statements
- ✓ Ability to pay the annual listing fee

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File a prospectus

This document contains information about the offering, the business, and its financial history, and proposed plans. Details are still subject to change.

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Appoint underwriters

These financial professionals will be responsible for buying and selling the shares to the public.